

Middle East Weekly Review

August 9, 2026 (covering Monday August 3, 00:00 to Sunday August 9, morning, KST)

- **Week in brief:** The week the “agreed in principle” Hormuz deal died by a thousand cuts and Yemen’s war got a second belligerent. It opened with Trump claiming Iran talks were underway and a Hormuz reopening “as early as tomorrow”; it closed with Iran’s own Supreme National Security Council listing terms Washington cannot accept. In between, Tehran and Oman described their bilateral shipping arrangement at least three different ways, Iran’s parliament tried to gut it with a restrictive draft, and the SNSC finally buried the “it’s basically done” framing altogether. Brent round-tripped from \$83.77 down to a three-week low of \$79.36 and back to \$83.55; KOSPI notched a record close on Wednesday and gave nearly all of it back by Thursday. Saudi Arabia formalized a nuclear-armed ally for the first time in this war, and Yemen’s government, for the first time, hit back.
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1. The Week’s Arc

What structurally changed this week is *how many voices Iran speaks with*, and what that fragmentation costs everyone trying to price the war around it. On Monday there was a single story: Trump saying a deal was close, Iran denying it. By Saturday there were at least three competing Iranian institutional positions on the table at once, and the market, Korea’s planners, and this ledger all had to relearn that “Iran agrees” is not a sentence with one subject.

The week opened on familiar footing. Monday, Trump claimed Iran talks were underway and Hormuz could reopen “as early as tomorrow”; Iran’s Foreign Ministry denied it outright and rejected a US-backed Qatari ceasefire-for-lanes proposal the same day. Brent fell 7.0% to \$83.77 as OPEC+ approved a modest September output increase, and KOSPI dropped 5.12% on a domestic AI/leverage-product unwind unrelated to the war. Tuesday repeated the pattern at a smaller scale: Treasury Secretary Bessent said a deal could come “today or tomorrow,” while Iran’s own negotiators described a materially different arrangement, a 1-3 month arrangement where Iran stays dominant, directly contradicting Washington’s “no party controls it” framing. A fresh unclaimed strike badly damaged the bulker Minoan Pioneer near Khasab, this war’s most damaging tanker incident since late July, and Brent fell to a three-week low of \$79.36.

Wednesday produced the week’s first real substance, and its first internal contradiction. Iran and Oman said they had agreed a Hormuz shipping-route arrangement, inbound via an Iranian channel, outbound via Oman’s, with a reported \$1-2 million per vessel transit fee, a detail that would flatly contradict the “toll-free” framing the same two governments would use by Friday. The same day, Houthi forces claimed missile attacks on two Saudi tankers in the Red Sea and Gulf of Aden, retaliating for Saudi’s Bab el-Mandeb rerouting and opening a second front against Riyadh beyond Yemen’s internal fighting. KOSPI, meanwhile, surged 3.76% to a record 6,598.26 on a semiconductor rally, a rebound that would not survive the week.

Thursday was the hinge, as it was the week before. Iran’s semi-official Fars news agency published a parliamentary draft banning US and Israeli vessels from Hormuz outright and imposing cargo fines up to 20% of value, directly undercutting the “agreed in principle” language Tehran’s own executive branch had used the same week. Houthi forces launched Yemen’s fiercest ground escalation since 2022, killing 30 to 45-plus Yemeni government troops in Marib and Hadramaut by competing counts, while their separate maritime campaign claimed an eighth Saudi-flagged tanker. Two Israeli soldiers were killed in a Majdal Zoun blast in south Lebanon, the first Israeli deaths there since the June truce, the same day Rome’s seventh round of Israel-Lebanon talks concluded with September 1

proposed as the next round. Trump confronted Defense Secretary Hegseth over hidden US munitions shortages that reportedly constrained recent Iran strike options. KOSPI gave back 4.58% the day after its record close, on a Wall Street chip selloff unrelated to any of it, the same one-day “air pocket” pattern the prior week’s review flagged as a recurring feature of this market.

Friday brought the version of the Hormuz story that would dominate the weekend: Iran and Oman reported finalizing the “general framework” of a 60-day, toll-free arrangement, the fee language from Wednesday now dropped entirely, pending approval “at the highest decision-making levels.” President Pezeshkian himself acknowledged it is “very difficult to communicate with” Khamenei right now, the clearest official confirmation that the deal’s fate rested on one man’s availability. Saudi Arabia warned of an imminent, coordinated two-pronged attack by Houthis and Iran-backed Iraqi militias. Houthi strikes on Marib continued, killing two more civilians. Lebanon and Israel agreed a shortlist of countries to verify Hezbollah’s eventual disarmament, vetoing France. Brent and KOSPI both posted modest, directionless moves, the market visibly waiting for a resolution that would not come from Khamenei at all.

It came instead from an institution nobody had been watching as closely: Saturday, Iran’s Supreme National Security Council, not Khamenei, published a list of conditions that buried the “nearly finished” framing for good, a permanent end to US strikes on Iran and its proxies, a lifted naval blockade, military withdrawal, war reparations, sanctions relief, frozen-asset release, conditions Axios and Channel 12’s Barak Ravid called something “the US cannot accept.” The same day, Saudi Arabia, Turkey and Pakistan signed the Mecca Joint Defence Agreement, a NATO Article 5 style mutual-defense pact, the first new formal security structure this war has produced, and Israel’s political class treated it as hostile within hours. And Yemen’s government, for the first time since Thursday’s ground escalation, stopped absorbing strikes and launched its own multi-axis counteroffensive against Houthi positions, prompting UN envoy Hans Grundberg to warn Yemen faces its highest conflict risk since the 2022 truce.

Three shifts to carry forward. First, Iran’s negotiating position fragmented into at least three competing institutional voices in one week. The executive track described a nearly finished, then toll-bearing, then toll-free framework; parliament published a restrictive draft that contradicts all three versions; and the Supreme National Security Council closed the week with demands that make the toll question look trivial. Every future “Iran agrees” headline now needs to specify which Iranian institution is speaking, because this week proved they do not agree with each other. **Second, Yemen crossed from a one-sided Houthi offensive into a genuine two-sided war.** The Houthis opened a maritime front against Saudi tankers on Wednesday, escalated to the fiercest ground fighting since 2022 on Thursday, and by Saturday the Yemeni government itself was attacking rather than absorbing, three escalatory steps from two different actors in four days. **Third, the region’s alliance map moved for the first time since this war began.** The Mecca Joint Defence Agreement is the first new formal, NATO-style security structure created since February, and Israel’s immediate hostile reaction, entangled with its own approaching October election, is a second-order friction this war had not produced before.

2. Indicator Scoreboard

Opened this week: 15. Two to three per day, August 3 through August 9.

Resolved this week: 13 — 2 Confirmed, 9 Falsified, 2 Expired.

Resolved	ID	Outcome	What it settled
08-04	IND-20260729-3	Expired	Korea's chip-driven equity rout was never cleanly tested against a broader-contagion bar before its deadline passed
08-04	IND-20260730-1	Falsified	Brent's return above \$90 was a one-day escalation spike, not a new floor
08-05	IND-20260729-1	Falsified	No Aramco or Saudi confirmation of Abqaiq's operational status, either way, arrived by deadline
08-05	IND-20260801-1	Falsified	Trump's bridge-or-power-plant tanker-retaliation ultimatum stayed rhetorical; no strike followed
08-05	IND-20260802-1	Falsified	The threatened US-Israel campaign against Iranian energy and nuclear sites never launched; Trump canceled it
08-06	IND-20260723-2	Falsified	Lebanon's pilot-zone program stalled at the one transferred zone rather than scaling further
08-06	IND-20260731-2	Falsified	Qatar's Ras Laffan LNG freeze held; the Al Areesh departure proved a one-off, not a break
08-06	IND-20260804-1	Falsified	Trump's "Hormuz reopens as early as tomorrow" joined this war's pattern of missed 24-48 hour deadlines
08-06	IND-20260804-2	Confirmed	KOSPI's Wednesday-to-Thursday round trip was chip-cycle driven, not Middle East risk
08-07	IND-20260725-3	Falsified	Hormuz transits stayed above zero all week; the sub-20 floor held rather than collapsing
08-07	IND-20260806-2	Confirmed	South Lebanon's renewed active-combat phase confirmed within a day of the Majdal Zoun deaths
08-09	IND-20260726-3	Expired	Neither a Saudi coalition escalation beyond Hodeidah nor a Sanaa airport deal materialized; genuinely ambiguous at deadline
08-09	IND-20260803-2	Falsified	No party besides Washington ever corroborated Trump's specific claimed deal terms

Still open: 24, the oldest being IND-20260714-4 (Qatari LNG loadings, 26 days outstanding) and IND-20260715-1/-2 (25 days each). Three new indicators opened Saturday and Sunday to replace the week's ambiguous Yemen close and track the SNSC demands and the Mecca pact (IND-20260809-1/-2/-3).

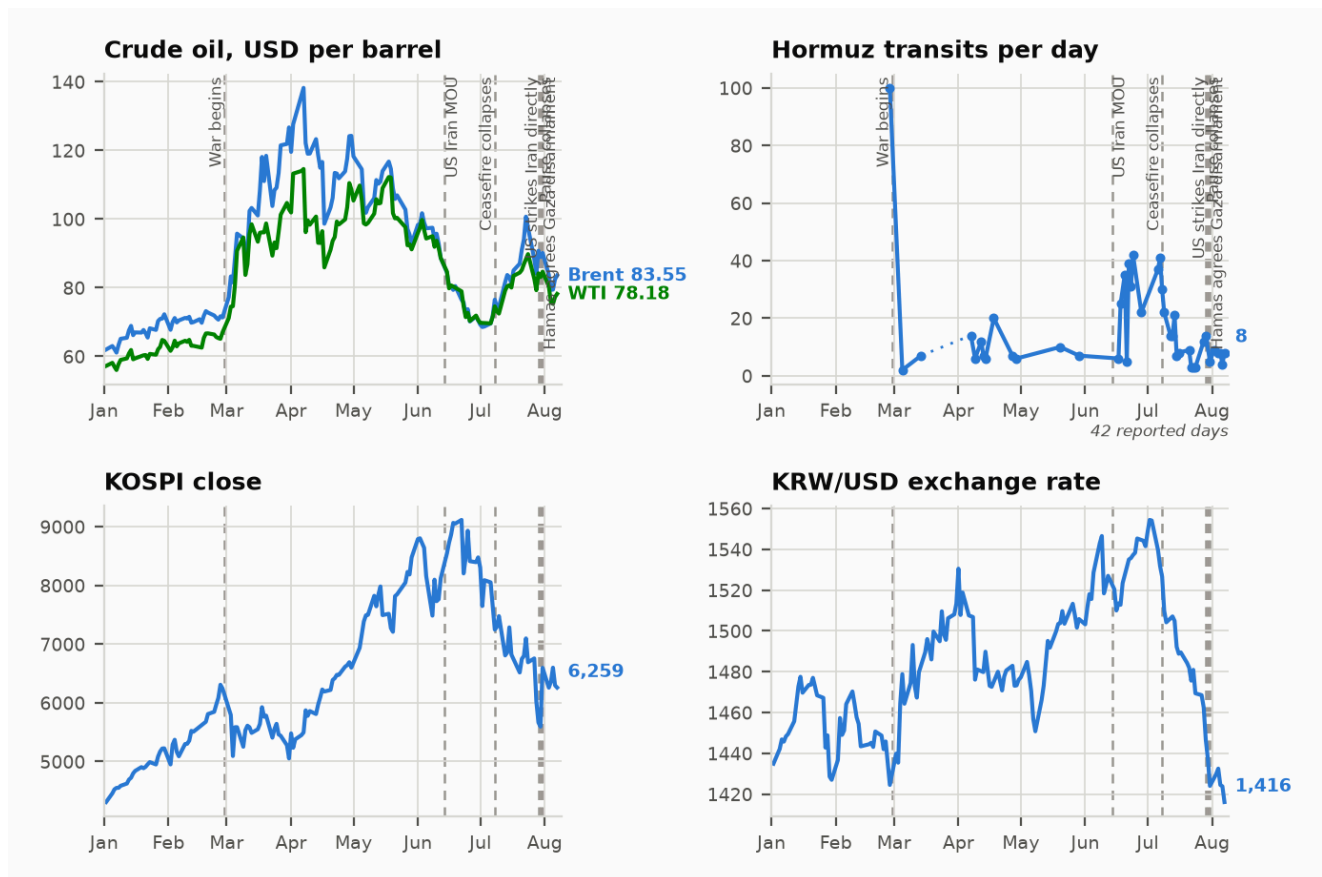
Calibration notes. Two lessons this week actually taught.

The first is that *this ledger's falsification streak has become the story, not a side effect of it*. Nine of thirteen resolutions this week falsified, continuing a pattern that stretches back through late July: nearly every Trump-attributed short-deadline claim about Hormuz ("as early as tomorrow," the claimed deal perimeters, the bridge-or-power-plant ultimatum) has failed to survive contact with its own deadline. That is no longer a series of individual surprises; it is a base rate this ledger should now assume by default for any new short-deadline claim from the same source, and the SNSC's demands opening this week (IND-20260809-1) should be read against that base rate rather than taken at face value in either direction.

The second is a wording lesson from IND-20260726-3's ambiguous close. That indicator tested whether the Saudi-led coalition would escalate beyond Hodeidah or a Sanaa airport deal would advance; neither happened, but the

actual news, the Yemeni government's own Saturday counteroffensive, came from an actor the indicator's text never named. Indicators that specify a single actor's action set can expire uninformatively when the real movement comes from an adjacent actor in the same conflict. The successor, IND-20260809-3, is written around the government's own offensive posture specifically to avoid repeating that gap.

3. Data Trends



Oil. Brent ran \$83.77 → \$79.36 → \$79.43 → \$82.49 → \$83.55 across Monday to Friday, a round trip that closed the week almost exactly where it started (-0.3%) despite a 5.2% intraweek swing. The pattern mirrors the fragmented-Iran story above: the market sold off on Trump's disputed deal claims (Monday, Tuesday) and bought back on the Fars parliamentary draft and the Houthis maritime escalation (Thursday), treating confirmed points of friction as more informative than disputed points of resolution. No settle exists for Saturday or Sunday; this brief records none, consistent with this ledger's practice of not inventing weekend prints.

Korea's split, again. KOSPI ran 6,257.45 → 6,358.95 → 6,598.26 → 6,296.38 → 6,258.77, a round trip through a record close and back to almost exactly Monday's level, driven end to end by chip-cycle sentiment (a non-memory rotation Tuesday, a semiconductor rally Wednesday, a Wall Street selloff Thursday) that Korean financial press attributed to global AI capex swings rather than Middle East risk on every single day. The won told a cleaner story: 1,429.8 → 1,432.5 → 1,424.5 → 1,423.8 → 1,416.1, a fourth consecutive day of strengthening by Friday, extending August's decoupling from the equity leg's volatility. The two legs of Korea's transmission channel keep behaving like two different assets responding to two different wars.

Hormuz. Transits ran 9 (08-02) → 8 (08-04) → 8 (08-05) → 4 (08-06) → 8 (08-07, backfilled), staying within the 4-9 band this ledger has tracked since early August, well below the 30+/day recovery threshold and mostly below the 20/day disruption line. A Kpler-sourced comparison published for August 7 implied a different, higher base for

August 6 than the 4-vessel Reuters/gCaptain figure already on record, a cross-provider divergence this ledger notes rather than resolves; it is the same counting-basis gap (all-vessel versus tanker-only, different data windows) that has recurred through this ledger's Hormuz series since mid-July.

What the chart does not show. Saturday's SNSC demands, the Mecca pact and Yemen's government counteroffensive all fall after Friday's last settle. The chart's right-hand edge is Friday's data; this week's most consequential diplomatic and military developments, like last week's, happened after it.

4. Slow Threads

- **Gaza's disarmament roadmap, stalled all week.** Neither Israel nor Hamas has confirmed acceptance of the Board of Peace implementation plan; Israeli strikes continued through the week without a clear break from the pattern this ledger has tracked since late July. Two indicators track convergence at different timescales (IND-20260805-1, ~08-12; IND-20260801-2, ~08-15).
 - **Kuwait's Article 51 invocation, unfollowed by action.** Nothing further has moved on this since it was invoked after the Bubiyan Island strike (IND-20260802-2, ~08-15).
 - **The Damietta attack, still unattributed.** No party has claimed or been formally blamed for the July 31 drone strike (IND-20260801-3, ~08-14).
 - **The Qeshm Island explosions, still unresolved.** Neither confirmed as a real strike nor formally closed out as a false alarm a week later.
 - **THAAD interceptor depletion, a slow-burn Korea-specific risk.** Reported at nearly 80% depletion with no official Pentagon confirmation and no reallocation decision yet affecting Korea's own Seongju battery; this is the one open thread with a direct, mechanical Korea channel that has moved the least day to day (IND-20260808-3, ~09-01).
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5. Revisions and Lessons

What changed about standing assumptions.

"Agreed in principle" is now a phrase this ledger should treat as a mid-negotiation marker, not a near-final one. Iran and Oman used some version of that framing at least three times this week, each time describing materially different terms (a fee-bearing arrangement Wednesday, a toll-free one by Friday), before the Supreme National Security Council's Saturday demands made clear neither version had cleared Iran's own internal process. Future briefs should treat any "agreed in principle" claim as provisional until a specific Iranian institution, executive, parliament, or the SNSC, is named as the source, since this week showed those three bodies do not speak with one voice.

The Yemen corridor's risk premium is trending structural rather than episodic. `korea-exposure.md` is updated today (see Aug 9 addition) to reflect that Yemen's war now has two active belligerent postures, not one, and that the Mecca Joint Defence Agreement puts a nuclear-armed state inside a formal collective-defense structure with one of Korea's largest crude suppliers. Neither change has a direct Korea clause, but both widen the set of actors Korea's risk planning needs to track around a single Gulf-state crisis.

The falsification base rate for short-deadline Trump-attributed Hormuz claims is now high enough to state as a standing prior. Nine of thirteen resolutions this week, and the majority of resolutions since late July, have falsified

specific near-term claims of imminent reopening or an imminent deal. This is not a reason to stop tracking new claims, but it is a reason to write new indicators (like this week's IND-20260809-1) with that base rate as the explicit null hypothesis rather than a fresh 50/50 prior each time.

The lesson from the week's structure. Both this week and last week's hinge day arrived on a Thursday, and both times the market's own repricing (KOSPI's record-to-selloff round trip) had nothing to do with the war. The structural news, this week's SNSC demands and Mecca pact, arrived on a Saturday, after markets closed, for the second consecutive weekend this ledger has recorded consequential news landing outside the trading window. A brief written strictly on trading-day cadence would miss both; the daily run's practice of publishing narrative-only, no-settle weekend editions is what caught them.